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Intercontinental Exchange, Inc. (ICE)

Acquisition of Ellie Mae by Intercontinental Exchange Call

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MANAGEMENT DISCUSSION SECTION

Operator: Good afternoon, everyone, and welcome to the Intercontinental Exchange and Ellie Mae Transaction Conference Call. Please note that all lines are in a listen-only mode. After the presentation, we will open up the call for questions. [Operator Instructions] Please note that this call is being recorded today, Thursday, August 6, 2020 5:00 Eastern Daylight Time.

I would like to turn the meeting over to your host for today's call, Warren Gardiner, Vice President of Investors Relations. Mr. Gardiner, you may begin.

Warren Gardiner

Vice President-Investor Relations, Intercontinental Exchange, Inc.

Thank you, Simon. Good evening, everyone. Thank you for joining us on the Intercontinental Exchange and Ellie Mae transaction conference call. The press release and investor presentation can be found in the Investors section of our company's website. These items will be archived and our call will be available for replay. Press release, presentation, as well as today's call may contain forward-looking statements. These statements should undertake no obligation to update, represent our current judgment and are subject to risks, assumptions and uncertainties. For a description of the risks that could cause our results to differ materially from those described in the forward-looking statements, please refer to our 2019 Form 10-K, second quarter Form 10-Q and other filings with the SEC.

In our investor presentation, we refer to certain non-GAAP measures, including adjusted EPS and adjusted EBITDA. Please see the explanatory notes on the second page of the investor presentation for additional details regarding the definition of certain terms.

With us on the call today from Intercontinental Exchange are Jeff Sprecher, Chairman and CEO; Scott Hill, Chief Financial Officer; and Ben Jackson, our President. Also joining us today is Jonathan Corr, Ellie Mae's President and CEO; Joe Tyrrell, Ellie Mae's Chief Operating Officer.

With that, I'll turn the call over to Jeff to discuss today's announcement.

Jeffrey Craig Sprecher

Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

Thank you, Warren. Good afternoon, everyone, and thank you for joining us on short notice to discuss this very exciting announcement for ICE and Ellie Mae. I was asked about the prospect of conducting mergers in the current COVID-19 environment on our quarterly earnings call last week. And I lamented about how difficult it is to form the kind of personal relationship between managers that allow for an exchange of information that can lead to a successful business combination.

In this regard, I'm thrilled to have both Jonathan Corr and Joe Tyrell with us in the room here in Atlanta as we continue to work together while, of course, remaining socially distanced. I also want to welcome all of Ellie Mae's customers and employees that are joining us on this call today and thank those of you who went the extra mile to contribute to this merger process in such a unique environment. I'll begin to walk you through our presentation starting on slide 4.

This afternoon we announced that ICE has entered into a definitive agreement to acquire Ellie Mae from Thoma Bravo for $11 billion. The consideration is expected to be in the form of a mix of 84% cash and 16% stock. And importantly, as Scott will discuss in more detail, this transaction meets or exceeds all of ICE's key acquisition criteria and is expected to be accretive to adjusted earnings per share in the first full year following completion.

Ellie Mae is a one of a kind digital platform that serves a vast array of mortgage industry participants and is mission critical to the production of nearly one half of residential mortgages in the United States. The US mortgage workflow is in the early stages of an analog to digital conversion. Today, the fragmented and largely paper-based mortgage transaction involves around 100 steps, thousands of pages of documents, and can take nearly two months to complete. When combined with our existing network at ICE Mortgage Services, our combination with Ellie Mae will firmly establish ICE as an industry leader within a large and growing addressable market and one that is desperately seeking efficiency gains.

But before I discuss the strategic rationale in more detail, I'd like to first turn the call over to Jonathan to say a few words about Ellie Mae.

Jonathan H. Corr

President, Chief Executive Officer & Director, Ellie Mae, Inc.

Thanks, Jeff, and thank you, everyone, for joining us on the call. On behalf of all the Ellie Mae stakeholders, I would like to say that we are thrilled to partner with ICE for what is a truly unique opportunity to accelerate Ellie Mae's mission of bringing greater automation and efficiency to the US mortgage marketplace.

On slide 5, as some of you have heard me say in the past on Ellie Mae calls, we've always been guided by mission to automate everything that was automatable from the first consumer touch point, all the way through to the mortgage investment.

Similar to ICE, we've made tremendous progress in our 20-plus years as a company, but the greatest opportunities lie ahead, and we can think of no better partner than ICE to help accomplish this shared goal. At Ellie Mae's core is Encompass, a digital platform that's served as the single system of record for our customers, and as a result, nearly half of the US residential mortgages.

In addition, and in part because of our unique connectivity to such a meaningful portion of the US mortgage market, the Ellie Mae network also serves as a unique digital marketplace which seamlessly connects customers with additional Ellie Mae services from thousands of other third-party vendors. In many ways, this is the App Store for mortgages.

And as you can see on slide 5, the unique value proposition that Ellie Mae brings to its customer base has enabled us to share these efficiency gains and to grow revenues in an array of both origination and interest rate cycles. And it is a value proposition that will only be further strengthened and advanced upon our combination with ICE Mortgage Services and the expertise that ICE brings to operating networks across the major asset classes.

Jeffrey Craig Sprecher

Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

Thank you, Jonathan. Now moving to slide 6, you'll find an overview of our strategic rationale and that is there for your future reference because I'll discuss each of these points in more detail if you'll immediately turn to slide 7. ICE's journey to help automate the mortgage workflow began back in 2016 when we purchased a majority investment in MERS, which is an acronym for the Mortgage Electronic Registry (sic) [Registration] System, and a database that today helps track the ownership and servicing rights of roughly 85% of outstanding mortgages in the United States.

We quickly applied ICE's technology expertise to rebuild and modernize its database, a process that ultimately allowed industry participants to begin digitizing parts of their closing workflow. The impact of this transformation is evidenced in part by the explosion in electronic note adoption since we completed that rebuild with e-notes now representing roughly 3% of the market, up from only 1% just a few quarters ago.

Our 2019 acquisition of Simplifile then added a unique settlement network constructed over two decades and one that today connects 28,000 settlement agents to over 2,000 counties across the United States. This network and the unique data that flows through it is the backbone for digitizing the closing and post-closing process. In complement, Ellie Mae's core strength is their origination network, which connects brokers, underwriters and lenders. When combined with ICE, the expanded platform will, for the first time, bring together all of the key stakeholders from origination to final settlement in one digital ecosystem.

Similar to our approach and strategy within other asset classes, this network merger is a critical step towards driving meaningful new product creations and unique workflow efficiencies. And then, it's a combination that does not exist in the mortgage market today.

Turning to slide 8, we'll have an opportunity to apply this value proposition and our unique end-to-end offering to an expanded addressable market. We think that there's a total addressable market that is roughly $10 billion in size as customers seek efficient ways to navigate both rising compliance costs and growing origination backlogs as evidenced by the mounting number of refinancing candidates as well as a shift towards greater millennial generation homeownership.

On slide 9, you'll see the benefit of the combined network. Ellie Mae's platform is critical to customer workflows and it's best evidenced by retention rates that are above 95%. We think the combined platform will help accelerate the adoption of ICE Mortgage Services, eNotes and eRecording solutions, and will increase the pull-through of many of our other new and proposed digital closing products.

Ultimately, we see a significant opportunity to build a more efficient and complete electronic closing offering, one that builds on our partnership with Ellie Mae that already exists today.

Moving now to slide 10, cleansing and marshaling of data in and out of databases as well as packaging data to build robust analytics and tools has been a core competency of ICE for two decades. It's central to the blueprint that we've applied to our futures markets and are currently applying to the fixed income markets. As the system of record for a network that handles over half of the US mortgage production, Ellie Mae brings a unique proprietary data set. This data set will be complemented by Simplifile's distinctive reference data, comprised of the terms and fees of thousands and thousands of counties.

When combined with Ellie Mae's cutting-edge technology such as document recognition, data extraction tools and document quality control, we'll be positioned to better automate the key tasks across the mortgage workflow. Build a more efficient electronic closing solution and ultimately improve the asset quality of any loan that moves into the secondary market. This feature can be an important selling point for many of our customers and ultimately remove friction that today is passed on to consumers.

In addition with ICE Data Services and their expertise and infrastructure, we can cleanse and package unique data sets to produce real-time data and analytics that can assist customers in achieving better pricing, more accurate peer benchmarking and other competitive intelligence tools. This compares the current providers that provide similar data offerings on a 90-day or more lag time. And we believe that there's an opportunity to leverage ICE Data Services' customer base, to broaden the adoption of this type of content over time.

Moving now to slide 11, the importance of these efficiencies and automation is best illustrated by Ellie Mae's value proposition, which will be further enhanced once combined with ICE Mortgage Services. Over the past decade, compliance and mortgage origination costs have doubled, with over two-thirds of these costs related to personnel. We estimate that customers will potentially be able to save nearly $3,000 in origination cost per loan once it's automated.

And they'll be able to achieve these savings at a price from us that's only a fraction of this amount. Ultimately, our combined platforms will have more fuel to drive the next leg of automation across an expanded addressable market.

And with that, I'll now turn the call over to Scott, and he'll discuss the financial details of today's announced transaction.

Scott Anthony Hill

Chief Financial Officer, Intercontinental Exchange, Inc.

Thanks, Jeff, and thanks, everyone, for joining us today. Please turn to slide 12. As Jeff noted, this afternoon, we announced that we have entered into a definitive agreement with Thoma Bravo to acquire Ellie Mae for $11 billion. Consideration will be in the form of $1.75 billion of newly issued stock and $9.25 billion of cash.

We plan to finance the cash component through a combination of commercial paper, short-term bank facilities, and longer term bonds. The weighted average cost of capital for this deal is expected to be less than 3%. Of note, our leverage at close will increase to around 4.25 times pro forma 2020 adjusted EBITDA. We are committed to maintaining a solid investment grade rating and currently expect to suspend share buybacks until our leverage falls below 3.25 times, which we anticipate will be sometime in the second half of 2022.

Our long-term leverage target will be a range of 2.75 times to 3 times EBITDA. We're confident that our strong cash flow generation will allow us to achieve this deleveraging path even as we continue to invest in our business and our people while continuing to grow our dividend. Upon the closing of this transaction and since our 2016 investment in MERS, we will have invested roughly $11.5 billion constructing our mortgage business. We expect ICE Mortgage Services, which will include Ellie Mae, MERS, and Simplifile to have pro forma 2020 revenues of $1.1 billion including $900 million from Ellie Mae and pro forma adjusted EBITDA of $600 million including $470 million from Ellie Mae.

And importantly, as Jeff alluded to, this strategic transaction meets all of our key financial criteria. We expect the investment to achieve a 10% return on investment, which relative to a cost of capital below 3%, puts us on a clear path to significant economic value creation.

Further, we expect ICE's overall return on invested capital which was 10% in the trailing 12 month through June to remain 200 basis points above ICE's cost of capital in 2021 with sequential improvement beginning in 2022. We also expect the $50 million to $65 million in run rate cost synergies to be realized by the end of year three.

And finally, we believe the combined platform can deliver revenue synergies that will accelerate the growth of the legacy ICE Mortgage Services business and be accretive to ICE's overall top and bottom line. Of note, following an HSR review, we expect the transaction to close later this quarter or early in the fourth. We plan to provide updated 2020 financial guidance at that time.

Turning now to slide 13, we want to highlight that beginning with our fourth quarter and full-year 2020 results we plan to change our segment reporting. As you can see on slide 13, we expect to report three business segments, exchanges, fixed income and other, and mortgage technology. We believe this reporting structure should give investors better visibility and insight into the core drivers of growth and value creation across ICE.

With that, I'll be happy to take your questions, but will first turn the call back to Jeff for some closing comments.

Jeffrey Craig Sprecher

Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

Thank you, Scott. I'll conclude my remarks on slide 14. Through our 20-year history, ICE has rapidly innovated and evolved. While being dynamic, we're also consistent and disciplined in our approach. We target markets and asset classes where there's an analogue to digital conversion taking place, and where there's an opportunity to leverage our core expertise of operating networks marketplaces and technology. We build upon these networks, creating content and workflow tools that reduce inefficiencies and friction throughout an ecosystem. It's a powerful combination and value proposition and one that Ellie May is uniquely positioned to help us advance within the massive US residential mortgage industry.

I'll now turn our call back to our moderator, Simon, and we'll conduct the question-and-answer session.

QUESTION AND ANSWER SECTION

Operator: At this time, we will open up for call for questions. [Operator Instructions] And your first question comes from the line Rich Repetto from Piper Sandler. Your line is open.

Richard Henry Repetto

Analyst, Piper Sandler & Co.

Q

Good evening and congrats to you all on a historic transaction here. So, Jeff, I guess my question is you've been a visionary and you've certainly brought automation to the exchanges in the trading industry. I'm just trying to – I guess I'm trying to understand what's going on in the last year with Ellie Mae because they were acquired for $3.7 billion, so now it's tripled in value.

And I see that the revenues have doubled and there's been some operating efficiencies. I'm trying to see what you saw and how you felt that they created that much value. How that was digestible to you? The difference in pricing, it looks like about a year.

Jeffrey Craig Sprecher

Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

A

Yeah. It's a great question, Rich. We have been looking at this company for a long time and as you know, particularly, we meet internally every two weeks and think about our business and where we want to take it and whether we should buy or build the technology that underpins that vision. And we've had Ellie Mae on our board for years.

And when it was purchased out of the public markets by private equity, Thoma Bravo, at that time, we didn't own Simplifile. We owned MERS, but we didn't own the back-end network. And – also at that time, we had a view that was – I now realize incorrect, that it was going to be hard for Ellie Mae to move from an installed software base into the cloud.

And we've seen other companies that have gone through that transition from installation and subscription to cloud base. And in that period, when that happened, oftentimes – and there's a couple of companies, I won't mention their name, but their stock prices performed poorly during that transition period. So, we were a little timid around the company two years ago.

What – to our great surprise and pleasure, the management team of Ellie Mae have built an unbelievable cloud-based system that is an open platform, that as Jonathan mentioned, is the App Store with – I don't know, hundreds of vendors that have now plugged into it, that provide their services across the Ellie Mae network and once we own Simplifile and started to talk about how we could hook the front end of the mortgage industry to the back end of the mortgage industry or the settlement part of the industry that you know we enjoy trying to innovate around, we realized that the combination of the two of us together moving into the cloud with the entire industry attached to us, would be very powerful.

And so, they were already on a very, very, I would say, a powerful revenue increase with EBITDA going from – I don't know, something like $140 million in the $400s. And so we said, this is the moment that we better move if we together want to come to something that can really revolutionize the mortgage business.

And let me – Jonathan is in the room and along with Joe and they did this amazing transformation. Let me at least open the mic to you and you can say if you want say some words.

Jonathan H. Corr
President, Chief Executive Officer & Director, Ellie Mae, Inc.

A

Thanks, Jeff. It's been about a year and a half with the partnership with Thoma Bravo, which is a incredible partnership for us, because it really allowed us to continue to focus on the business and the momentum that we had just prior to going private. Continue to execute on the infrastructure, the transformation, to continue to execute on the next generation of our software and that really catapulted our growth and continuing to pick up share, allowing us to continue to drive more and more value to our existing customers. We did an acquisition last year of a company called Capsilon and introduced some amazing technology around recognition and extraction and machine learning and artificial intelligence that has been a super success. And that combination has really allowed us to have amazing revenue growth, expand the margin materially.

And, as we look to what was going on in the market and the momentum that we actually think we've seen at the beginning of this year relative to COVID and the pandemic driving people towards eClosing, the momentum with our partner, with Simplifile and partnership in other areas, we just thought it was a perfect alignment and that our vision was always to automate everything automatable in the industry with such momentum we kind of saw coming together with Jeff and the ICE team, one plus one equals three and it's very exciting.

I've been at this for 18 years and I can finally see the possibility of full digitization and it's just not that far away. I think the combination is going to be fantastic.

Richard Henry Repetto
Analyst, Piper Sandler & Co.

Q

Okay. I'll let others ask questions, but thank you very much. That's very help.

Jeffrey Craig Sprecher
Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

A

Thanks. Thank you, Richard.

Operator: And as for our next question comes from Alex Kramm from UBS. Your line is now open.

Alex Kramm
Analyst, UBS Securities LLC

Q

Can you – hey, everyone. Can you discuss the growth algorithm for Ellie Mae on a standalone basis a little bit further for the next, I guess, medium term next few years? First of all, it would be great if you have any growth targets that you could put down numbers around on a holistic basis, but then also how much of the growth is coming from taking more share? It looks like you have 50%. How much are ancillary services? Really what's the game plan or what was the game plan on a stand-alone basis?

Scott Anthony Hill
Chief Financial Officer, Intercontinental Exchange, Inc.

A

Yes. Hey, Alex. So, let me start and just give you a few numbers and then Jeff or Ben or Jonathan can kind of pick up on the how it's going to happen. So, as we thought about the model, and we looked at what Jonathan described as the momentum that they've built and established in an industry that's still in the early stages of moving to analog to digital, we see a combination of factors that are going to drive growth. And just to put it out there, we think this is a business that can grow 8% to 10% a year, every year for the next decade. And even against what will be a tough compare in 2021 versus 2020, we think it's a business that can grow 8% to 10% next year. And that growth is going to come from a combination of things. It is going to come from our confidence that Ellie Mae can continue to take share in the origination space.

Jeff talked a little bit about and Jonathan mentioned their network, which effectively operates as an app store where other third-party providers who sell services into the mortgage space come and hook into the broad network that Ellie has built. We believe not only are those third parties likely to grow and we along with them, but there are additional third parties that can be added to the platform.

Jonathan also mentioned the Capsilon business that they bought. And that artificial intelligence or machine learning capability that can facilitate compliant. And so, we look at this, Alex, a lot like we've looked at the energy business 20 years ago, the fixed income business a few years back, as one that is poised to move analog to digital. We believe Ellie Mae is the best network in this space and one that is indispensable in the industry and that all of those factors will support growth.

And then the last thing I'd say, in terms of overall valuation, because, frankly, what it traded for 18 months ago has nothing to do with what we think it's worth today. What we think it's worth today is all about where we think it can go. And with that growth comes really solid incremental margins, because what the Ellie Mae team has done has built a business that you know we love, which is you build it once and you sell it multiple times.

And so, all of those factors, we believe, will combine to generate a very solid return. I mentioned 10% on top of a 3% cost of capital and more than justifies the value that we're paying today.

Jeffrey Craig Sprecher
Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

A

I guess I would just add...

Alex Kramm
Analyst, UBS Securities LLC

Q

Great. And quickly...

Jeffrey Craig Sprecher
Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

A

... that what impressed me, Alex, was – and we've seen this in some of our other business and specifically in our mortgage business was the moment – there was a moment in time when this management team took their business into the cloud, opened up their network and then we got hit with a work from home environment. And that was the tipping point, in my mind, that has really driven unbelievable recent growth. But regardless of your view of interest rates, regardless of your view of refinancing or how many millennials are going to buy a house.

We've seen this, and you've seen this, in industries. Well, if you look at the last page of our presentation and see the EPS growth of ICE that grew through every financial crisis, every economic issue that has occurred around the world. The analog to digital conversion, once it reaches a tipping point, you can't stop it, regardless of what the micro economic situation is.

And we saw that happen to these guys. They were brilliantly prepared. And we think there's tremendous momentum behind this company. And we have tremendous momentum against our eClosing initiatives that we're working together on. And we think putting it all together in one package is – it's unprecedented in the industry having an end-to-end solution.

By the way, we talked a lot about our closing solution, in order to get into our closing solution, somebody has to take files or paper documents or something out of the front-end system and get them into the back-end system. And we're going to make sure that that's now seamlessly part of one system.

Alex Kramm
Analyst, UBS Securities LLC

Q

Yes. Thank you. I don't know if I have time for a quick follow-up, but for the Ellie Mae team, can you just say quickly like what COVID has done? Any sort of quantitative numbers that you can give? How much maybe – the interest level has increased to move certain projects forward from the mortgage industry, anything would be helpful?

Jonathan H. Corr
President, Chief Executive Officer & Director, Ellie Mae, Inc.

A

Well, I think one of the things you've seen is incredible demand for going digital, being able to do things in a distributed fashion, whether it be the front end of the process, eClosing, and everything in between. And so elements of holding people back from doing it because maybe they're dipping their toe in the water, kind of moved very quickly as people saw the success they were having when they had to do it by necessity. They had to embrace it to be able to close home loans for consumers to refinances for consumers, and I think it just accelerated the momentum in the industry.

And we continue to see it. As Jeff said, we've gone to a place of a true network effect and it becomes this virtuous cycle. And so as folks see the benefit of doing things electronically and digital and the benefit both in terms of going faster and doing it at lower cost with fewer hands touching the file, it just becomes a positive reinforcing cycle. And that has been a big benefit to us this year, but it really has been something that has been a continuous cycle that we just keep riding. And again in terms of the combination with MERS and Simplifile and eClosing, I just think there's just tremendous growth in front of us.

Alex Kramm
Analyst, UBS Securities LLC
Q

Right. Thanks again.

Operator: As for our next question comes from the line of Chris Harris of Wells Fargo. Your line is now open.

Christopher Harris
Analyst, Wells Fargo Securities LLC
Q

Thanks. So when we look at ICE's track record with M&A, the acquisition have often involved buying companies and then when once the company become part of ICE the growth accelerates, and that certainly seems to be the playbook here. But I was hoping you guys could elaborate a bit more on how putting these assets together might accelerate the growth.

Jeffrey Craig Sprecher
Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.
A

Yeah. Let me – I'm going to bring Ben Jackson in who's been sitting here patiently, who's been working on our eClosing initiative.

Benjamin R. Jackson
President, Intercontinental Exchange, Inc.
A

Thanks, Chris, for the question. Let me go through a couple of areas, of where we see interesting opportunities in the growth algorithm and new areas to really accelerate the growth here. And the first part that we've touched upon, and Jeff touched upon in his script and we've talked about a little bit is really coming through the combination of these two very strong networks.

And I can't emphasize enough that no one in the industry has stitched together – one, nobody in the industry has those two unique networks that we have. One on the originations side with Ellie Mae and the other one on the closing and post-close side with Simplifile. No one has that and also no one has really stitched that together as all one complete network and ecosystem.

And what that enables you to do, in very simple terms, it enables you to connect, for the first time, the underwriters and the lenders and all the information that they're compiling and all the information that they're trying to gather in order to see that a candidate for a loan meets all the qualifications. They then go ahead and be passed into the closing process.

For the first time that underwriter and lender is going to be able to seamlessly pass all that information, share documents and share information to the settlement agents on the closing side. And that whole process we know is going to, one, be able to increase throughput of loans. To be able to have more loans transacted in a more efficient way.

Two, it's going to reduce significantly the number of errors that happened in this process. And then three, we believe that a much higher-quality asset will be produced at the end of the day, that when those loans go into secondary market for trading, there'll be a lot less issues where there'll be much higher quality asset and have a lot of value associated to it.

The second area, let me give you another example, is on the data and analytic side. So when you think about the data sets that are within these companies, you take Ellie Mae has a ton of real-time rich information around the origination process embedded in it. Ellie Mae, another example, has a business called AllRegs, which for all intents and purposes is basically the bible for all the lending guidelines and regulations that one needs to comply with when underlying the loan.

But also Simplifile has a very interesting data set and unique data set in that it has all the referenced data and all the closing requirements information that 2,000 counties around the United States require, what information is require, what could be electronic, what could be manual. Part of what we're going to do here is take all those data sets, combine them together, pull it much further into the front end of the process, which also will reduce the amount of errors that come through when a loan is being originated.

Jonathan mentioned the AI platform, the Capsilon AIQ platform that is also there. We'll be able to take and utilize that platform to also do a lot of automated checks, to check for errors in that origination process that today is very manual in nature. Jeff mentioned that the cost of doing a loan has doubled and that there's an opportunity for right savings. This is where it is, applying that AI algorithm to automatically check for errors throughout that loan process to really reduce a lot of the need for manual intervention. Those are a few examples and there's many, many more behind that.

Christopher Harris
Analyst, Wells Fargo Securities LLC

Q

Great. Thank you.

Operator: Our next question comes from Alex Blostein from Goldman Sachs. Your line is now open.

Jeffrey Craig Sprecher
Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

A

Alex, are you on mute?

Alexander Blostein
Analyst, Goldman Sachs & Co. LLC

Q

Hello. Can you guys hear me?

Jeffrey Craig Sprecher
Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

A

Oh, hi, Alex. We can hear you, yeah.

Alexander Blostein
Analyst, Goldman Sachs & Co. LLC

Q

Sorry. So, the question is you've given details about how these two assets benefit you guys from a mortgage business perspective, obviously. But curious to get your thoughts how this new mortgage business will interact with the rest of ICE whether on a data and the network side or the trading side of the business. So, in other words, are there any revenue synergies that you anticipate on some of these other businesses or they're likely going to operate sort of separately?

Jeffrey Craig Sprecher
Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

A

It's a great question. First of all, as Scott mentioned, we're going to re-segment ICE. And the reason that we have to re-segment is really an underlying issue, which is we intend to run and manage the mortgage business as a separate vertical, if you will. And in that regard, a management team that's overseeing that, the merger of all these assets, and then the real acceleration of this business into the cloud. ICE's other businesses run in a private cloud. They are cloud-based businesses but they're a private cloud that we operate particularly our data distribution network. And we have been in the process, if you will, of taking historical data, let me say, non-real-time data and putting it and making it increasingly available in the public cloud, so that easier to access. One of the things that we've learned by going through this integration planning process with Ellie Mae's management is they're going to teach us a lot and it's help us accelerate cloud-based access.

And particularly, cybersecurity overlay and other things that are really important, they deal with personal identification information and probably have one of the most rich databases of personal identification information, given that in order to get a mortgage today, an individual has to, basically, provide all of their key details into that Ellie Mae system. So, we're anxious to tap their brains and, I think, it will help accelerate some of our other businesses and make them more widely available, which we hope, ultimately, will increase the velocity of their uptake.

And then in the middle there, Ellie Mae already has a lot of data. They package and sell data and they have a lot of third-party vendors that are in their app store that are, basically, dealing with data. But largely that whole universe is targeting professionals that are in the mortgage industry. And as you know, our data business really targets investment professionals and people that are, probably, outside of the mortgage industry.

So, we're looking forward to talking to a lot of funds and managers and economists and regulators and other people that might be interested in having some unique information around what's going on in the US mortgage market, because we will be the de facto source of information for the US mortgage market. And we think we can broaden that by taking some of that information and bringing it over the wall, if you will, into this other vertical that we're going to have where we're going to be pushing a lot of financial data out.

Beyond that, I don't know that the market – I don't want to promise and suggest that because we really know how things trade and how derivatives are formed and how indices are pushed into ETFs that we want to talk about that as a near-term opportunity because I think those are no question opportunities. And no one is better positioned than we are to deal with all of those things.

But to be fair, the analog to digital conversion of just getting the basic mortgage into a system where you can take thousands of dollars and all kinds of failure rates out of the current trading market is such a huge opportunity that we're going to focus on that first.

Alexander Blostein
Analyst, Goldman Sachs & Co. LLC

Q

Great. Thanks very much.

Jeffrey Craig Sprecher
Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

A

Thank you.

Operator: As for our next question comes from Mike Carrier of Bank of America. Your line is now open.

Michael Carrier
Analyst, Bank of America Merrill Lynch

Q

So, you guys have multiple opportunities for growth that I assume whether it's the mortgages, fixed income, ETFs, market data. So, when you look at this deal and making a bigger bet on mortgage in that opportunity, have you gotten more like visibility or confidence in the mortgage growth opportunity more recently versus other areas of the business or is it more about you've always had that now either as an asset for sale, and so it's the combination here?

And then just on that growth opportunity, I don't know if you guys can size them, just trying to like understand when you think about that migration to kind of digital, like where is the mortgage market at this point or like how much has kind of migrated over versus that opportunity? Thanks a lot.

Jeffrey Craig Sprecher
Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

A

Sure. So let me start and then I'll ask my colleagues at Ellie to give you a little more detailed insight. But obviously,, we've talked about the analog to digital conversion opportunity for quite some time. But as I mentioned, we've been working together and we saw our mortgage business, it has been ICE's fastest growing business, albeit small. So, you may not have seen it or people might have – may not have focused on its compounding growth, but we could see that it was already growing because of this analog to digital conversion need.

I really – the combination of that and what happened in March when in the US people had to work from home and mortgages that were in flight were trying to figure out how to close and settle and no one wanted to go to a law office or an escrow office to sign papers, and notary republics couldn't get into offices, and what have you. There was this acceleration that we saw.

And one of the things that Ellie has visibility into, that we did not, is they can see much further into the future. They can see through their customer acquisition tools and what have you, what's going on in the mortgage market, one or even two quarters ahead. And they can see and we show the graph of where we think the backlog of potential refinancing is. They saw that the market was massively capacity constraint and people that are in this industry are wanting to refi, take advantage and people wanting to move and buy new homes that are fleeing cities and all the other societal movements that have happened around the knock-on impacts of COVID, they can see well into the future that we couldn't see.

And we see a very, very bright, you know, 2020. And regardless of the election and regardless of where interest rates may go and regardless of what industry forecast may be, we can see a lot of potential growth that is backlog than having a problem getting accomplished. And so it was really that that said this has been a tipping point and if we're going to get together – and look, the private equity firm only own these guys for like 18 months. Like it's well short of their typical holding period and they've got – they had an asset that was a real winner.

And so we had to do some real convincing that is the moment in time when if they want to be true and loyal to the Ellie's management and employees that let's do this deal and let's let this thing go. Let me ask my colleagues at Ellie to comment. Joe?

Joseph Tyrrell
Chief Operating Officer, Ellie Mae, Inc.
A

Sure. Hey, Mike. This is Joe Tyrrell. So it's interesting when we look at the adoption of automation, just before we went private, we started to see significant adoption by lenders on frontend technology, typically that point of sale where the consumer interacts with the application. And we've seen exponential growth of adoption across our platform and just in the industry in general. As you look at what's happened with COVID now, you see lenders who've been preparing themselves to adopt digitization and automation through the rest of their process have now really woken up and realized this is the way that they're going to have to scale their business going forward.

And so if you look at what we've been doing for the last several years, we've achieved essentially a critical mass of lenders and partners and third parties on our platform. And they rely upon us to collect data, to securely store that data, to exchange that data, all on behalf of our customer base.

And so really what we're poised for now at Ellie Mae is really the next phase of growth for us as a company. And honestly, it's going to be the largest growth that we've experienced, which is now taking all that data that we have and using it to really automate out the inefficiencies. We're getting demand now from our lenders about eClose and really trying to take that same level of adoption that they're seeing willingly from consumers on the frontend and give them that same touchless experience when it comes to actually closing their loan and signing their documents.

So, with – being part of the ICE Mortgage Services and their expertise in leveraging data to automate out inefficiencies, we feel like this is the opportunity that we have, and it's a very unique combination of Ellie Mae and Simplifile and MERS to really be the change agent in this industry and drive the automation that really everybody from consumers to the lenders in the secondary market are asking for.

Scott Anthony Hill
Chief Financial Officer, Intercontinental Exchange, Inc.
A

And Mike just to draw that back the numbers, don't miss slide 8. This is $1 billion business, staring at a $10 billion addressable market, so there's a lot of opportunity for us to grow significantly as we move forward.

Michael Carrier
Analyst, Bank of America Merrill Lynch
Q

Got it. Thanks a lot.

Operator: Our next question comes from the line of Jeremy Campbell from Barclays. Your line is open.

Jeremy Campbell
Analyst, Barclays Capital, Inc.
Q

Hey. Thanks. So, Jeff and Ben, you guys talked about stitching together the front and back-end solutions that have the similar parts, yields this greater 8% to 10% top line growth algorithm than maybe the pieces would individually.

So, I guess in that context, with those new end-to-end solution and the externality you guys discussed, do you see an opportunity to turn some of these pieces that are a bit more transactional in nature today into a more recurring SaaS-based pricing model? And then, I guess from a competitive standpoint, is this solution going to be running up against an already large player like Black Knight in the technology space or are you kind of running into a more fragmented market that maybe you guys can flex your muscles a little bit?

Benjamin R. Jackson
President, Intercontinental Exchange, Inc.

A

Hi, Jeremy. It's Ben. I'll take this. So, I think the way to start on – I'll just hit on some of the areas in the addressable market that we're going after here and if there's an opportunity right in front of us. First, when you think about the closing and post close space that we've talked about, we talked about in the earnings call last week, we talked about a couple times here today, that's a billion dollar addressable market. That opportunity is right in front of us, we're executing on that and we're seeing what are green shoots really starting to blossom across that entire offering, across that entire process.

And a lot of those offerings that we have, that we talked about on the earnings call last week with Simplifile, a lot of it's partnerships with Ellie Mae. And really, going back to that touch point of the underwriter and the lender to the settlement process and automating that. We see that this combination just gives us the ability to accelerate the growth that we're already capturing. And then on the data and analytics, that $4 billion opportunity, this is all about taking all those rich data assets that I had mentioned before and applying them to – and the AI engines that we have to really automate out all of the things that are done manually now in that underwriting process.

So, from income verification to collateral and asset verification to credit, insurance, title, that whole space is ripe to just get rid of manual intervention that's happening right now to manually assess each of those areas, to understand what are the requirements that each lender or investor has for underwriting a particular loan. And instead of literally doing stare and compare and trying to manually check for errors, which itself is ripe for errors.

We have right in front of us the opportunity to automate that and by creating that efficiency, we believe we'll be able to monetize that by just providing this benefit to the industry as a whole. And then on the LOS side, so the underwriting and processing side, Ellie Mae is well underway and growing. Scott touched on that they're growing in market share, they went from 38% market share to 44% in just the last two years. And now you increased the amount of automation from not just the origination process, but straight through the closing. We see the ability to continue to capture market share there.

And we've talked about it a couple times now, but the whole – what Ellie Mae has in the origination side and what Simplifile has in the closing and post-close side, these are unique, no one else has these assets and that's where we're focused. And when you think about a company like Black Knight where they are deep into the servicing space in large banks, and not really present in this. So, that's more of a potential for partnership opportunity with them as opposed to thinking of them as a head-to-head competitor.

Jeffrey Craig Sprecher
Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

A

And I'll take the first part of your question. This is Jeff. Is there an opportunity, or is there an appetite to move from transaction-based pricing to subscription-based pricing, and the short answer is yes. And we, at ICE, bought

Interactive Data maybe five years ago or so, and one of the things that we have built over top of that is a really elegant system to take a look at where are customers buying bundles from us, what interest in bundling what products, and how do you segment the market to create different kinds of bundles that you can package together and essentially sell on a subscription basis with high renewals and escalating pricing because of escalating value to customers. And so, we talk a lot with Ellie's team about bringing our team in and when we get these two businesses together, really taking a look – a hard look at what would be the best and most efficient way to package our pricing. But I can tell you that the early look at this is that we're going to see more opportunity for subscription.

Jeremy Campbell
Analyst, Barclays Capital, Inc.

Q

Great. Thanks a lot.

Operator: Our next question comes from the line of Chris Els from Compass Point. Your line is open.

Chris Allen
Analyst, Compass Point Research & Trading LLC

Q

Evening, guys. Chris Allen here. Can you hear me?

Jeffrey Craig Sprecher
Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

A

Yeah. Hi, Chris. We can hear you.

Warren Gardiner
Vice President-Investor Relations, Intercontinental Exchange, Inc.

A

We can hear you. Yeah.

Chris Allen
Analyst, Compass Point Research & Trading LLC

Q

Maybe I just want to follow up on that a little bit, maybe for the Ellie Mae guys, can you give us some color just in terms of who actually you directly compete with? And then from a share perspective, as I understand it, Ellie Mae has seen strong tailwinds in terms of the non-bank originators in recent years? Maybe you could talk about how the share of segments by differentiate originators in terms of non-bank players, large banks, and smaller banks, just help us think about that?

Joseph Tyrrell
Chief Operating Officer, Ellie Mae, Inc.

A

Yeah. Sure, Chris. This is Joe. So when you look at our customer base, we support customers of all sizes and all segments and with multiple charters, so from large national banks, large independent mortgage bankers down to regional banks and even brokers. If you look at our client base mix though, it's more heavily weighted towards the large independent mortgage banks. And if you're aware of what's happening in our marketplace for the past call it 10 to 12 years, there's been a rapid and consistent shift of volume away from the largest depository banks to the large independent mortgage banks.

And so we have a larger percentage of those folks on our platform. And again, with them, they tend to really focus on adopting technology because they're not as encumbered by some of the legacy technology that might be intertwined with other internal depository systems. But we've really seen that market share on our platform grow and because of the fact that they do such a heavy percentage of the volume, we've seen our overall market share growth of volumes on the platform.

Chris Allen
Analyst, Compass Point Research & Trading LLC

Q

And just who do you guys directly compete with?

Joseph Tyrrell
Chief Operating Officer, Ellie Mae, Inc.

A

So our number one competitor is in-house legacy systems that lenders have built over time that they're starting to realize they're spending millions of dollars investing to maintain through all of these various regulatory and industry changes instead of investing in their business. So, we've got a really great pipeline where even these largest entities are starting to realize that it's time to look at a commercial application like ours.

After that, it's pretty fragmented. We'll run in occasionally to folks like a Black Knight that you mentioned. And beyond there, it's just a myriad of small little companies with very small share.

Chris Allen
Analyst, Compass Point Research & Trading LLC

Q

Thanks.

Jeffrey Craig Sprecher
Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

A

I'd also like to mention that one of the things that we really like about this company is that the net – we're going to run the network itself as an open platform, which means people who have their own systems will be able to hook theirs. If they want to keep their own proprietary frontends, they'll be able to hook to our platform and take our regulatory tools, or take our database, or acquire data, or use our closing processes.

And so, we're going to be somewhat agnostic now because we're going to have literally almost every touch point in the mortgage process, and we're not going to turn down the opportunity to work with everybody. And so in that regard, maybe it's the exchange philosophy that ICE has, which is just to be a neutral utility-like player and support people where they need support. That's the way we're going to run this network. We're already both kind of doing that but we'll reinforce that as we come together.

Chris Allen
Analyst, Compass Point Research & Trading LLC

Q

That's it for me. Thanks.

Jeffrey Craig Sprecher
Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

A

Thanks.

Operator: Our next question comes from Ken from Worthington (sic) [Ken Worthington from JPMorgan]. Your line is now open.

Kenneth B. Worthington
Analyst, JPMorgan Securities LLC

Q

Hi. Thank you for squeezing me in. Maybe a little history lesson. If you look at Ellie Mae's growth over time, you called out in the slide deck about 30% revenue growth since 2008, I believe. The growth in EBITDA to the $470 million level. How much of that growth was organic, call it, driven by sort of the operations and how much of that growth from, I don't know, say like the $150 million level, was driven by inorganic means? Is it mostly operational improvements or – yeah. Thanks.

Scott Anthony Hill
Chief Financial Officer, Intercontinental Exchange, Inc.

A

Yeah. So, Ken, I'll take the question. If you think about it, Joe and Jonathan, have talked about Capsilon which is a business that was acquired by Thoma Bravo subsequent to them being taken private after 2018. Subject to Joe or Jonathan, correct me, I think that's about $50 million of revenue, so a relatively small part of the significant growth that you've seen. And so really the revenue growth have been driven by the things we've talked about.

Ben mentioned earlier that we've seen share go from 38% to 44%. We've seen more customers joining the network and all of those factors have driven the revenue. And the point Jeff keeps hitting on is this is a business that's now in the cloud. It's built once. It's sold multiple times, and so the incremental margins to that are significant. And so, both Joe and Jonathan have focused over the last 18 months in improving the organizational efficiency at Ellie Mae, but to a large extent the growth in their EBITDA is driven directly by the share they've taken, the new products they've added, the new customers they've put on the network. And again, that's the model we see going forward as well because 44%, we'll go higher than 44%, more customers will join the network.

Joe talked about taking out the legacy systems in many – as being our main competitor, not another company, but the customers themselves. And as we do that, it's rolling out the same solution again, and again, and again and the incremental margins on that are very solid which generates the strong cash flows that supported the value that we came to.

Kenneth B. Worthington
Analyst, JPMorgan Securities LLC

Q

Okay.

Jeffrey Craig Sprecher
Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

A

So I'll mention one fact that surprised me was that their head count during this period has been going up. We saw this rise in looking at financial statements and said, Oh I bet, private equity just went in there and took down the head count and made things fall to the bottom line as a sort of a one-time improvement and we saw just the opposite. Increased investment, increased head counts, movement to the cloud, which suddenly accelerated top line growth.

Kenneth B. Worthington
Analyst, JPMorgan Securities LLC

Q

Great. And then maybe following up on the subscription part. You mentioned the deal is accretive to revenue growth, not a mortgage guy, but I know enough to see that we're sort of at record levels of mortgage volumes. How sensitive – and I know you mentioned that there's a subscription part of the business year. How sensitive is Ellie Mae to mortgage volume levels? And like how – if we start to see mortgage volumes drop, how concerned should we be with certain levels of decline? Like, does the accretion disappear if there is a 5% drop in mortgage volumes? Does it take a 50% drop? If you can just help us with the sensitivities, that would be great.

Scott Anthony Hill
Chief Financial Officer, Intercontinental Exchange, Inc.

A

Yeah. So, that, obviously, Ken, is a question that we spend a lot of time looking at as we went through diligence. And I forget who it was in one of the meetings who said it. Ultimately, the mortgage volumes can be a headwind or a tailwind, but it's just that. It doesn't make the difference between the business will grow or not grow.

Because, again, this is a business that's taking share, that's adding customers, that's adding product and that's what's really driving the growth. And so I mentioned that we expect next year can grow 8% to 10% off a tough compare. But that's assuming refi volumes come down significantly. And so, that top line growth is coming despite the fact that we fully expect that refi volumes will come down. And, frankly, that purchase volumes are only modestly up.

We do see a trend towards millennials buying more homes, we think that is a long lasting tailwind, but it's still modest. And so, the 8% to 10% growth I'm talking about for next year is against the headwind of volumes coming down.

Jeffrey Craig Sprecher
Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

A

We also see, by the way, that – and you can see the graph that we've put in there that shows the backlog of potential refis, that we have seen and Ellie is trying to alleviate that there is a capacity constraint in the system, that's preventing that elephant from moving through the snake. And so, we suspect that that volume, as long as interest rates stay low and you kind of come up with your own conclusions about the fed's ability to raise rates right now, is likely to have a bit of a backlog for quite a while, just because of the inability to satisfy customer demand right now.

So, while that isn't in our model, as Scott said, he's modeled an actual downturn, we have some confidence that we may be able to beat the industry's projections over the long-term.

Kenneth B. Worthington
Analyst, JPMorgan Securities LLC

Q

Great. Well, thank you very much.

Operator: Our next question comes from the line of Brian Bedell from Deutsche Bank. Your line is now open.

Jeffrey Craig Sprecher
Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

A

Hey, Brian. Are you there?

Brian Bedell
Analyst, Deutsche Bank Securities, Inc.

Q

Yeah. Can you hear me?

Jeffrey Craig Sprecher
Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.
A

I can now. Yeah.

Brian Bedell
Analyst, Deutsche Bank Securities, Inc.
Q

Okay. Fair – fair with that. Okay. Just to follow up on the revenue growth side of the equation. So the – just to verify this, 8% to 10% you said, Scott, is for your expectations for next year, even if refi volumes turn down, and then you also said 8% to 10% over a long-term timeframe, I believe. So just correlating that with that market share of 44% and then going back to slide 8 where we've got the $10 billion addressable market, can you just help me think about that 44% share within that pie? Is that mostly in the application processing and underwriting section of that pie? And then your longer term 8% to 10% growth rate, maybe you don't have exact numbers here of course, but what type of growth in market share are you anticipating, say, over the next five years plus to get to that? And then in that addressable market pie, where is that we may not really that large and you see more exponential sort of growth from Ellie Mae's base?

Scott Anthony Hill
Chief Financial Officer, Intercontinental Exchange, Inc.
A

Yeah. There was a lot embedded in that question.

Brian Bedell
Analyst, Deutsche Bank Securities, Inc.
Q

[ph] Multi-parter (01:04:43).

Scott Anthony Hill
Chief Financial Officer, Intercontinental Exchange, Inc.
A

I'll let Ben start and then I'll weighed in later.

Benjamin R. Jackson
President, Intercontinental Exchange, Inc.
A

Yeah. I'll try to unpack that just by going through the addressable markets as you went through it. So I think the way to think about the near term opportunity on the revenue growth side, meaningfully moving the needle is just continuing that underwriting lender processing, the LOS side, continuing to gain market share, continuing to add customers, continuing to grow the network that we have with our partners that increasingly see the efficiency that the app store that Ellie Mae has, enabling them to distribute their content across the vast majorities that are mortgage – mortgages that are originated that are going across that network. They see the efficiency there. So there's a tremendous opportunity for continued growth there.

The, call it, near to medium term is probably the data and analytics side, that business, the brilliant acquisition that they did about a year ago of that AI platform and that data extraction platform. It's already a high-growth business for Ellie Mae. And we see an immediate application to not only continue the growth that they have with the existing customer base but to apply it to that whole process now all the way through to the closing and post-close.

And then, the $1 billion opportunity that we had mentioned and we spend a lot of time on our earnings call talking about this, this is high growth but it's coming off of a very low base. And we see – as we've shared that market shares and the registry of eNotes went from 1% to 3%. A brand new business, so we're getting off the ground.

And the collaboration and post-close phase went from completely greenfield brand new innovation to 3% market share. That, we see that the growth rate of that's going to accelerate, but off of small base but we have clear line of sight that that is one that's going to grow, call it, medium and medium to long term.

Brian Bedell
Analyst, Deutsche Bank Securities, Inc.

Q

Yeah. And then Scott, you were going to comment on the...

Scott Anthony Hill
Chief Financial Officer, Intercontinental Exchange, Inc.

A

No, I don't have, frankly, anything to add. Ben covered all of that. We're not going to roll out line-by-line item that one of the reasons that we're choosing to re-segment the business is because, as Jeff said, this is going to be run as a business segment. And so, as we go through, just as we did with the data business, we will highlight different aspects of the mortgage business and the revenue growth drivers that Ben alluded to as we get into the fourth quarter, and more importantly, as we roll through 2021.

Brian Bedell
Analyst, Deutsche Bank Securities, Inc.

Q

Okay, then. That's helpful. And then 3% cost of capital, was that your expectation for your interest rates on the new debt or was that embedding the stock?

Scott Anthony Hill
Chief Financial Officer, Intercontinental Exchange, Inc.

A

It's less than 3% and it embeds the stock. My cost of debt in the first year is going to be about 1.6% on $9 billion.

Brian Bedell
Analyst, Deutsche Bank Securities, Inc.

Q

Yeah.

Scott Anthony Hill
Chief Financial Officer, Intercontinental Exchange, Inc.

A

And over the life of the deal, maybe 2.2%, 2.3%.

Brian Bedell
Analyst, Deutsche Bank Securities, Inc.

Q

Great. That's very helpful. Great. Thanks very much.

Scott Anthony Hill
Chief Financial Officer, Intercontinental Exchange, Inc.

A

Thank you.

Operator: For our next question comes from the line of Owen Lau from Oppenheimer. Your line is open.

Owen Lau
Analyst, Oppenheimer & Co., Inc.

Q

Yeah. Good afternoon. Thank you for taking my question. I only have a couple of housekeeping questions. So, the first one was, Scott you mentioned the 8% to 10% growth rate. Can you please further quantify the growth math, which is like, how much of that came from pricing, how much of that came from new customer?

And then on slide 20, 40% recurring revenue, could you please disclose the renewal rate for that? And then finally, you mentioned the refi sensitivity. But my question is more on the mortgage rate and interest rate and/or maybe inflation expectation. How does inflation expectation and mortgage rate impact the business? Thank you.

Scott Anthony Hill
Chief Financial Officer, Intercontinental Exchange, Inc.

A

Okay. So, I think that was a three-part question. I'll try and hit each one. So, with regards to the 8% to 10% revenue growth, what I can tell you is what we've already said, it's share growth, it's new customers, it's new content, and those are the things that are driving that growth. And we haven't broken them down. Whether or not ultimately we will expose a pricing model similar to what we did with the data business, we'll determine as we get ready to report the segments.

But it's all of those factors that are driving the growth. And I would argue that none more so than the other, they're all contributors to the growth, and that's why I think this is not a one year 8% to 10%, it's a decade 8% to 10%.

With regards to the renewal rate, high 90s. I think Jeff mentioned that in his – it's remarkable in terms of the retention rates that we see in this business. And again, I think it goes back to a little bit of what Joe was saying. If you can come in and provide tools to an inefficient analog process, it becomes really sticky. And so, with that stickiness comes really high retention. And I think that high retention then becomes even more sticky when in your network you are sending through the content and customers that are then readily able to get those originators. And so, I think all of that is what drives the very high renewal rates that we see in our business.

And then with regards to the refi volume, as I mentioned, we actually have modeled that going down next year, and just to be even further transparent, down the year after that. And then hovering back towards what historically has been, kind of, low to mid-40s percentage of refis relative to total volumes.

And as Jeff alluded to, that doesn't count on any of the large backlog we showed you on slide 8 necessarily pushing through over the next two years. I think that could be a good opportunity for us and it only assumes a little bit of a purchase volume growth coming from millennials buying more homes. So, hopefully, that'll give you a little bit of flavor as to why we're confident that, again, this isn't a one or a two or a three-year growth story, it's a 10-year growth story at high incremental margins that will create a lot of value for our shareholders.

Owen Lau
Analyst, Oppenheimer & Co., Inc.

Q

Okay. Thank you.

Operator: I would like to turn the meeting over to Jeffrey Sprecher for closing remarks.

Jeffrey Craig Sprecher
Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

Well, thank you, Simon and thanks for moderating this call. I want to thank you all for joining us today and I certainly hope that you and your loved ones stay safe and stay positive about the opportunities that lie ahead for all of us. Have a great remainder of the day.

Operator: Thank you all and this concludes today's conference. Thank you for participating. You may now disconnect and have a great day.